

Important event of 1940s, 50s: decolonization

Decolonization was due to economic turmoil faced by ~~UK~~ England, Germany, France (the colonizer countries) after WWII

Colonies became a burden for them.

As colonies became independent and started taking their own decisions, some academicians of the developed (colonizer) countries thought of coming with ~~academic~~ some academic theories or philosophies to control the newly independent ex-colonies by some means. (in 50s)

This is modernization theory.

The idea was, western countries would determine the policy for poor countries via WB, IMF, WTO etc. Free trade was suggested.

Colonial countries are suggesting ex-colonial
on how to become ~~modern~~ modern.

Modernization theory is rooted in capitalism.
(ex-colonial countries)

For developing and underdeveloping countries
to develop, they must follow the footsteps
of the western countries.

The modernization movement of the
1950s and 1960s is an economic
theory that is rooted in capitalism.

The concept of modernization incorporates
the full spectrum of the transition
and drastic transformation that a
traditional society has to undergo
in order to become modern.

5/12/18

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Modernization is about Africa following the developmental footsteps of Europe (former colonies)

Proponents of modernization theory claimed that a poor country's development had to pass through distinct stages.

The Rostowian theory identified the stages

a):

1) Primitive society: The stage is characterized by subsistence farming and barter trade.

Only real production is valued. There is no economic

2) Preparation for take-off: The characteristics of the stages are:

- specialization
- surplus production
- trade
- currency
- transport infrastructure developed
- savings and investment encouraged
- concept of Bank

3) Take-off: At this stage

- industrialization increases
- the economy switches from agriculture to manufacturing.

4) Drive to maturity: At this stage

- the economy diversifies
- less reliance on imports
- export increases

5) Period of mass consumption At this stage

- the economy gears on mass production
- high standard of living
- service sector becomes increasingly dominating

(like hotel, restaurant, tourism, fast fashion, financialization, digitalization)

Rostow's model was result of modernization movement.

Critics of modernization theory:

→ why modernization theory is not appropriate for developing countries

Developing countries ⇒ traditional

→ primitive society

→ no science

→ no education

→ no modern knowledge

Then, how to modernize? How to reach high economic growth, high level of modern values?

5/2/18

Critique of Rostow's stage theory:

- 1) The model is too theoretical and oversimplified. Assumes a linear development model. Most economies in

Africa invest in agriculture, manufacture and tourism. It is therefore not easy to classify economies into neat categories as suggested by Rostow.

In most cases, an economy experiences an overlapping of stages. So it is not a good idea to categorize a development model into five distinct groups.

In which category do Bangladesh fall?

→ some regions have very few industries and fall in "preparation to take-off"

stage, with participation of most of the population in the economic growth process.

→ some region experienced (Chazipur, Narayanganj) industrialization and thus belongs to take-off stage. Export oriented industries have grown up on a massive scale.

→ Even though it is difficult to answer whether Bangladesh have been able to diversify its economy, a big portion of the society enjoys mass consumption. Service sector is increasingly dominating, demand for electronic goods are rising following trend with terms of consuming luxury goods is also prevalent. These are the character of "period of mass consumption."

Therefore, the economy of Bangladesh has multiple stages, characteristics similar to

with some sort of uniformity

Hence, a society not necessarily jumps from one stage to another chronologically.

An economy may have overlapping of stages or it may skip one stage in its developing process.

So, we can conclude, dividing a development models into 5 distinct categories does not seem very wise.

1) Oversimplified view of social change

1) According to Rostow, transition from one stage to another is smooth and does not involve any challenge.

The social change due to transition from one stage to another may not be desirable to all. Sometimes a transition involves force and thus

5/12/18

may become an extremely painful process.

Industrialization is probably happening by displacing the farmer from the land, which also means loss of agricultural land.

Agro to manufacturing transformation is making farmers jobless. Self-sufficient farmers are forced to migrate and choose a different way of life.

The whole social change due to transition from one stage to another is challenging and painful; this change is resisted by large group of people, especially by farming communities.

Therefore, transition from one stage to another is not smooth.

2) High level of industrialization requires electricity. In order to supply electricity, powerplant, coal mining, uranium mine is required.

→ Shifting from agro to manufacturing and high level of industrialization, the process requires huge amount of electricity. And this requires powerplants.

Coal mining may have devastating impact on many communities.

Coal mining, oil mining, uranium mining are always resented by the local community.

The Rawson model does not show the perspectives of farmer on local communities. This is a very urban view of development.

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Gas pipeline hampers the environmental quality of a region.

Every stage involves so many painful impact which is ignored in Reid's model.

Environment and health problem associated with transition from one stage to another is completely overlooked by the stage theory of Reid.

Critics of Modernization theory

- i) Too theoretical and oversimplified linear model
- ii) Oversimplified views of social change

↑
These were debated in previous class,

iii) Deculturation of values:

→ According to modernization theory, Asia/Africa will modernize by following western academic curriculum.

→ Poor country's (colonies) education system is designed by the ex-colonial master (mostly Britain)

How the economy ^{/economic value} can be affected if the education system is designed by the west,

→ neglecting/rejecting endogenous knowledge/values and considering western knowledge as real development.

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The sector where we had advantage
on liveage is agriculture

→ This is because of climate, weather, soil,
river, alluvium

⇒ fertile land and enriched farmer community
makes agriculture so prominent for us.

⇒ But if we want to modernize by
following British education system we
have to focus on industrialization

This is what deculturation means.

An educated person coming back to

agricultural sector is ~~not~~ discouraged

and is viewed as a form of stagnation.

↓
Deculturation.

5/2/19

A person from a poor farmer community doing good in education and entering in civil service job is celebrated.

But, our farmers already have a very rich knowledge about farming. They do not need much investment in academic sector to produce well.

- Considering the land shortage and massive population, if we aim for mass industrialization,
- agricultural land will decline
- food security is in risk
- the country will increase cash crop production
- The country will slowly become dependent on import for food crops

(iv) Changes should be initiated externally

The development model of developing countries should be initiated & externally (by ex-colonizers)

This is done through the policy design of WB, IMF, ADB, WTO.

critic of this approach:

(1) This is a top-down elitist approach

Modernization theory is elitist approach because elite economies are deciding the policies for developing economies.

→ The problem of top-down approach is poor is never the centerpiece of the development model. So ~~that~~ there is no participation of target community.

Policies on development strategies are drafted/made in the West and sent to Asia/Africa for implementation.

e.g., privatization of govt owned companies (Adamjee Text mill); Reducing tariff, Reducing subsidy

→ West/Ex-colonizers tasked themselves with the responsibility of developing the poor Asian/African countries (ex-colonies)

2) This development model is Eurocentric

→ The development of Asia/Africa is will be determined by European demand.

→ Bangladesh's development in RMA is completely USA and Eurocentric.

→ Colonial and post-colonial Africa produced cash crops (tea, coffee, cocoa, cotton, sugarcane) to satisfy European demand.

5/12/19

3) The Role of Foreign Aid

Modernization theory put excessive importance on foreign aid

According to modernization theory, it is the responsibility of the west to develop Asia/Africa by giving aid.

⇒ But Africa is still very poor after receiving billions of dollars as aid.

⇒ Africa is trapped in a vicious trade cycle that they are not getting any benefit from this foreign aid.

⇒ Their foreign currency is being outflowed.

→ why foreign aid could not end poverty in

Africa ⇒ Discussion from post colony Africa
 problems should be included

Africa became a cash crop country with by
 then. Cash crop should help to earn foreign

currency. But when a lot of country is
 trying to produce the same commodity
 and sell them in the international
 market, there will be a surplus of commodity
 and hence price will go down.

Then in order to maintain the foreign
 currency earning, countries produce
 even more cash crops. The scope for
 food crops gets smaller and smaller
 countries then become dependent
 on import of food items

5/2/19

And expends dollar to purchase food. Thus, the foreign currency that they receive as aid is eventually outflowed in order to meet the import demand.

1) The Role of Technology

According to modernization, technology is the source of development.

Technology plays the most important role in the development process.

That is, according to modernization theory, if poor countries can grab technology or take the advantage of technology, they can develop or modernize.

But, the Marxists have argued that the difference between the rich countries and the poor countries are basically technological innovations and international division of labor. That is, the difference between modern world and Africa is purely technological and determined by ~~the~~ IDL.

Modern countries are modern because they are technologically enriched. Poor countries are unmodern because they are lagging behind in using technology.

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International division of labor means
(labor of) a country will have a specific
role in the production process

Role of Africa in international division of
labor: supplying raw material (tea, coffee,
cotton, copper, aluminium, steel)

Role of West in international division
of labor: Europe & America produce
manufactured goods.

Rich countries are rich and poor
countries are poor because of IDZ
which is determined by technology
according to Marxist view. Those who
have control over technology, is
controlling the development process.

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Africa produces: Tea, coffee, copper, cotton, steel
These are raw materials & low valued product
~~that~~

West produces: Processed food, car, aircraft

These are high-valued product.

Africa have steel, copper, aluminium; but they
can not produce aircraft because they
do not have the technology.

This is a classical Marxist argument.

Europe Africa supplies raw materials and
West manufactures with it. This is a vicious
cycle. ~~Africa~~

West never wants Africa to completely/totaly
modernize. Europe/USA wants raw materials supply
from Africa for their food processing industry,
car industry, manufacturing industry. Europe/USA
never want Africa to produce aircraft
West do not want to lose its market

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Africa do not have access to technology

These technologies are secured via patent.

Hence Africa will always produce the raw materials (steel, aluminium, copper) and supply them to the west, west will then produce high valued products like aircraft with it.

"Ghana grows our Cocoa, so why can't it make chocolate?"
~ Business Insider

Touhite.